

Targets	Value	Parameter	Calibration
Real interest rate	0.04	ρ	0.00327
Elasticity of matching function	0.6	η_L	0.6
Replacement ratio b/w	0.71	b	0.71
Annual esablishment exit rate	0.0087	δ	0.00874
Elasticity of vacancy value	1	ξ_{inv}	1
Markup	1	ε	4
Risk aversion	0.2	σ	1
Share of sunk vacancy costs to overall hiring costs	1	κ	0.795
Steady-state wage	1	z	1.59
Steady-state mass of firms	0.031	f_e	32.8